

Subject: Formalizing Your Role and Next Steps for Aribia LLC
Date: Friday, August 23, 2024 at 11:32:07 AM Central Daylight Time
From: Nick <nick@aribia.llc>
To: LuLu <lulu@aribia.llc>, ariaslulu1@gmail.com <ariaslulu1@gmail.com>
CC: Sharon Jones <sharon@aribia.llc>, mssharonjones2@gmail.com <mssharonjones2@gmail.com>, ARIBIA LLC - MGMT <mgmt@aribia.llc>
Attachments: Arias Resignation Draft 2024 08 24.docx

Hi Luisa,

I hope this message finds you well. I've CC-ed Sharon, as the other vested member of ARIBIA LLC, so that we can all stay aligned on the business aspects and ensure transparency as we proceed with these important next steps. It's important that we keep the conversation focused on resolving the business issues at hand.

1. ARIBIA LLC's Assets and Ownership Structure

To ensure clarity moving forward, I want to distinguish between the properties that ARIBIA LLC owns outright and those that are managed by the business:

Owned Assets:

- Medellín Property and Appliances: ARIBIA LLC fully owns the Medellín property and the appliances within it as a business asset.
- City Studio: Through its 100% ownership of "ARIBIA LLC - City Studio," ARIBIA LLC fully owns Surf 211.
- Apt Arlene: ARIBIA LLC has partial ownership of Apt Arlene through its majority stake in "ARIBIA LLC - Apt Arlene."
- Fixed Assets: ARIBIA LLC, through its ownership of ARIBIA LLC - MGMT, holds various fixed assets that were contributed to the business.

Managed Properties:

- 550 W Surf #504 and 541 W Addison #3S: These properties remain personally owned by me but are managed through an agreement with ARIBIA LLC - MGMT.

This distinction is important to ensure our decision-making and financial considerations remain focused on the business's needs.

2. Medellín Property as a Business Asset

The Medellín property is, first and foremost, a business asset. It was acquired by the business to drive value and generate returns. While your mom and brother currently reside there, the purpose of the property remains to serve the business, not as a personal or family accommodation. The property was purchased with the expectation that it would contribute to the overall success of ARIBIA LLC, and the rent generated from it is part of maintaining its value in our portfolio.

Family ties do not negate the obligation to pay rent, just as they wouldn't with any other tenant. I

personally provided 100% of the capital contribution to acquire this property, and it continues to be an important investment for ARIBIA LLC. Therefore, the rent must be paid on time to protect this investment.

3. Contributions and Capital Reassessment

Given the current situation, we will be reassessing all member capital contributions and adjusting ownership percentages accordingly. This includes contributions in the form of financial capital, operational involvement, and any outstanding obligations. Ensuring that contributions are accurately accounted for is essential to keeping the business running smoothly and fairly.

4. Past-Due Rent on the Medellín Property

Regarding the Medellín property, the most recent rent owed is \$800, covering the past two months. However, considering past instances where rent was not prioritized, we need to address any additional past-due amounts. Moving forward, all outstanding rent payments will be considered as part of the capital reassessment and the valuation of ownership stakes.

5. Return of Keys and Fobs

To streamline operations and avoid unnecessary costs, I need all keys and fobs returned for the properties, particularly for Cozy Castle. These items represent a direct cost to the business, and we need to ensure they are properly accounted for.

6. Cell Phone Service

To resolve the cell phone situation, here are the available options:

1. Pay Off Phones: You can pay off the phones to transfer the service elsewhere.
2. Transfer to Xfinity: If you have Xfinity at your new residence, you should be able to transfer the service to your responsibility.
3. Return Devices: Alternatively, you can return the devices to the business. If you'd like to keep your phone numbers, we can facilitate the transfer to your personal accounts.

7. Formalizing Your Departure

Given that you've shifted your focus away from operational involvement in the business, it's important that we formalize your departure from an active role within ARIBIA LLC. I've attached a resignation letter for you to review and sign, which will allow us to update the company's records accordingly.

8. Cozy Castle Non-Delivery

Regarding the non-delivery of Cozy Castle, we have addressed this matter with the tenants directly, and the situation has been resolved. Our focus now is on stabilizing the business, finalizing any outstanding matters, and ensuring that ARIBIA LLC can continue to move forward efficiently.

9. Deal No Longer on the Table

Regarding the previous proposal we discussed, that option is no longer on the table due to the

financial challenges the business is currently facing. Any future discussions about buyouts or ownership transfers will need to be revisited based on updated financial evaluations and reassessment of contributions.

Next Steps

1. Formal Resignation: Please review and sign the attached resignation letter. Once finalized, we'll update the company's records to reflect this change.
2. Return of Keys and Fobs: Please arrange to return the keys and fobs for all properties, particularly Cozy Castle, to avoid any unnecessary costs to the business.
3. Financial Considerations: If there are any outstanding financial matters or contributions that need to be addressed, we should resolve them as part of this process. This includes resolving the past-due rent on the Medellín property, the cell phone situation, and any potential investments in the business.

It's important that we finalize these decisions promptly so that ARIBIA LLC can continue operating effectively. I look forward to your response and to finalizing these matters.

Best regards,
Nick Bianchi
President, ARIBIA LLC